

TOPIC 1: FINANCIAL STATEMENT & RATIO ANALYSIS

Paper: NRB / RBB / NBL / ADBL - Paper II (5M/58M%) | Weightage: gf-gf

Nepali Title: 5?M\$@/ 5?50# 0 /8 K 5?6M2G7# (5>82>\$, (>+>-(K M8> (9?8>., (& *M05>9

1. EXECUTIVE SUMMARY & KEY EXAM TAKEAWAYS

5?M\$@/ 5?50#2G 8 8M%> K (?6M ?\$ 5'? K 5?M\$@/ 58M%>, >0M/8.M*>(&(\$%> (& *M05>9
0M& d 5?M\$@/ (A*>\$ 5?6M2G7#.>0M+\$,H \$%> 5?M\$@/ 8 8M%> K \$02\$>, (>+>.B2 \$
.B2M/> M (0?(M d

High-Yield Exam Points:

- NFRS / NAS 1 (A8>0 5?M\$@/ 5?50# > k *M0.A M 90B: 5>82>\$, (>+>-(K M8> (, (& *M05>9 (A8B @d
- \$02\$> (A*>\$ (Current Ratio h:g, Quick Ratio g:g 0 Cash Ratio f.h-f.k:g) 2G 2M* >2@ (&>/?\$
- (>+>.B2 \$> (A*>\$.> GPM, NPM, ROE 0 NIM .>0M+\$,H K 8 M >2(>0M/& M7\$> .>*(0?(M d
- 6K'(M7.\$>.> Debt-to-Equity 0 Interest Coverage Ratio .>0M+\$ 8 8M%> K &@0M >2@ (5?M\$@/
- (G*>2 0>7M M0 ,H K (?0M&G6((A8>0 CD Ratio '? \$. of%, CAR .M\$@.> gg%, 0 NPL Ratio d

2. CORE FINANCIAL RATIOS & FORMULAS (NRB / BASEL NORMS)

Current Ratio (CR) (>2A (A*>\$) Benchmark: h : g (5>#? M/ ,H 90B.> g.h - g.k : g 8.M

Formula: $\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$

Significance: 8 8M%>2G g 50M7-? \$M0 *0? * M5 9A(G +M(> >2A &>/?\$M590B >2A 8.M*\$M\$?,>

Quick / Acid-Test Ratio (6@ M0 / \$02 (A*>\$) Benchmark: g : g (\$M C7M)

Formula: $\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Current Liabilities}} = \frac{\text{Current Assets} - \text{Inventory} - \text{Prepays}}{\text{Current Liabilities}}$

Significance: , >0.> 8>.> (,? M0@ 9A(A0M(A (*0@ \$M >2 (&.> 0B*>(M\$0# 0M(8 ?(G *0. \$0

Cash Ratio (Absolute Liquidity) ((& (A*>\$ (Benchmark: (A*>\$) &G ? f.k : g (hf% &G

Formula: $\text{Cash Ratio} = \frac{\text{Cash and Cash Equivalents} + \text{Marketable Securities}}{\text{Current Liabilities}}$

Significance: 8 8M%>2G , >0.> A(H *(? 8.M*\$M\$? 5> 8>.> (,? M0@ (0@ 9>\$.> - K 5?6A&M' (

Gross Profit Margin (GPM) (A2 (>+> .>0M ?() Benchmark: hf% - if% (&M/K K *M0 C\$? (A8>0

Formula: $\text{Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Total Revenue / Sales}} \times 100\%$

Significance: *M0\$M/ M7 \$M*>(& (2> \$ (?/(M\$M0# 0@ A2 (>+> 0M (0M(8 G K '>0-B\$ >0M

Net Profit Margin (NPM) (A& (>+> .>0M ?() Benchmark: gf% - gk%

Formula: $\text{Net Profit Margin} = \frac{\text{Net Profit After Tax (NPAT)}}{\text{Total Revenue / Sales}} \times 100\%$

Significance: 8.M*B0M# 8 M >2(, *M06>8(? , 5?M\$@/ 0M \$%> 0 >0 *M0\$M/G gff 0A*H/>

Return on Assets (ROA) (8.M*\$M\$?.> Benchmark: g.f% - h.f% (,H ? M7G\$M0.> g.k%

Formula: $\text{ROA} = \frac{\text{Net Profit After Tax}}{\text{Total Assets}} \times 100\%$

Significance: 5M/58M%>*(2G 8 8M%> K 8. M0 8.M*\$M\$? ((? M7G*,> 8?0M ?\$ 0M > 0 2 >(@) *

Return on Equity (ROE) (8M5*A @.> *M0\$2.> Benchmark: gh% - gk% -(M&> .>%? \$M C7M

Formula: $\text{ROE} = \frac{\text{Net Profit After Tax}}{\text{Shareholders Equity}} \times 100\%$

Significance: 8G/0'(@90B2G 2 >(@ 0G K *M0\$M/G gff 0A*H/> *A @2G \$? 0A*H/> (>+> 0M

Net Interest Margin (NIM) (A&,M/> .>0M ?()) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{NIM} = \frac{\text{Interest Income} - \text{Interest Expense}}{\text{Average Total Earning Assets}} \times 100\%$

Significance: ,H K .A M/ 5? \$M\$@/ . 'M/8M%\$> ((? M7G* 8 2(0 0M > *M05>9) >0M/,> 0M ?

Capital Adequacy Ratio (CAR / CRR) (A&,M/> .>0M ?()) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{CAR} = \frac{\text{Total Capital (Tier 1 + Tier 2)}}{\text{Total Risk-Weighted Assets (RWA)}} \times 100\%$

Significance: ,H 2G 5? \$M\$@/ 8 , 0M > (K M8>(@ 0 ,>0 K ? . 59(0M(*0M/>*M\$ (M\$0? *A

Credit to Deposit (CD) Ratio (0M >-(? M7G*(A#>\$) Benchmark: i.f% (NRB Unified DirectivFormula: $\text{CD Ratio} = \frac{\text{Total Domestic Credit}}{\text{Total Domestic Deposit}} \times 100\%$

Significance: ,H K \$02\$> (?/(M\$M0# 0M(0 \$M/'? M0>. 0M > 5?8M\$>0 0K M(0>7M M0 ,H

Non-Performing Loan (NPL) Ratio (A&,M/> .>0M ?()) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{NPL Ratio} = \frac{\text{Total Gross Non-Performing Loans}}{\text{Total Gross Loans and Advances}} \times 100\%$

Significance: ,H K 0M > *K0M +K2?/K K A#8M\$0, 8A2@ >0M/ M7.\$> 0 8.M->5? \$ 0M > K ?

Cash Reserve Ratio (CRR) (?>0M/(A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{CRR} = \frac{\text{Cash Reserves Maintained with NRB}}{\text{Total Domestic Deposit Liabilities}} \times 100\%$

Significance: .A&M0> *M0&>/ (Money Supply) (?/(M\$M0# 0M(0 ,H 90B K \$02\$> 8A(?6M ?\$ 0

Statutory Liquidity Ratio (SLR) (A&,M/> .>0M ?()) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{SLR} = \frac{\text{Liquid Assets (Cash + Bank + Govt Securities)}}{\text{Total Domestic Deposit Liabilities}} \times 100\%$

Significance: ,H 90B2G 8M.? (? M7G* +?0M\$> .> '>(M(0 80 >0@ #*\$M0.> 2 >(@ 8A0 M7?

Debt-to-Equity Ratio (D/E) (#- Benchmark: A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{Debt to Equity Ratio} = \frac{\text{Total Long-Term Debt}}{\text{Shareholders Equity}}$

Significance: 8 8M%>.> 8>9A K ,>9M/ # 0 .>2? K +M(H *A @ K &> K &G > ; /82G 8 8M%>

Interest Coverage Ratio (ICR) (,M/> -A M\$>-(A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{ICR} = \frac{\text{EBIT (Earnings Before Interest \& Tax)}}{\text{Interest Expense}}$

Significance: 8 8M%>2G +M(K 8 M >2((>+>,> # K 5>0M7? ,M/> \$? * 8.M. \$?0M(8 M -(M

Inventory Turnover Ratio (ITR) (.L M&>\$ Benchmark: A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$

Significance: 50M7-0?> .L M&>\$ \$? * ,? M0@ - (&.> 0B*>(M\$0# -/K -(M(G &G > ; M &0

Average Collection Period (DSO) (#@ 8 2(5'?) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{DSO} = \frac{\text{Accounts Receivable}}{\text{Total Credit Sales}} \times 365 \text{ Days}$

Significance: '>0K.> ,? M0@ 0G K 0 . M0>9 90B,> 8A2@ 0@ (&.> *0?#\$ 0M(8\$ \$? &?(

Earnings Per Share (EPS) (*M0\$? 8G/ Benchmark: A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{EPS} = \frac{\text{Net Profit After Tax} - \text{Preference Dividend}}{\text{Weighted Average Number of Common Shares}}$

Significance: *M0\$M/G 8>'>0# 8G/02G .M*(@ K A& (>+>.> \$? 0A*H/> 0M(0M /K -(M(G .>

Price to Earnings (P/E) Ratio (.B2M/ Benchmark: A#>\$) Benchmark: i.f% - j.f% K ,@ .> 8(M\$AFormula: $\text{P/E Ratio} = \frac{\text{Market Price Per Share (MPS)}}{\text{Earnings Per Share (EPS)}}$

Significance: 2 >(@ 0M\$>90B2G .M*(@ K *M0\$M/G g 0A*H/> .M&>(@ > 2> ? &K8M0K , >0.>

3. COMPARISON MATRIX: *M0.A 5?50#90B K \$A2(>\$M. 50

\$A2(> K '>0 (Basis)	5>82>\$ (Balance Sheet / SOFP)	-(K M8>(9?8>, (P&L /
*M0 C\$? \$%> &M&G6M/ (Nature & Objective)	5?6M ?\$.?5?> 8 8M%> K 5?50#90B K \$A2(>\$M. 50	76M%\$?/>5'? K 8 M >2((\$? > (.M&>(@ d
8./ 5'? (Time Horizon)	5?6?7M ,?(M&A.> (Point in time: End)d	76M%\$?/>5'? K 8 M >2((\$? > (.M&>(@ d
8.@ 0# K '>0 (Core Equation)	Assets = Liabilities + Equity (8.M&G6M/ + *A @)d	76M%\$?/>5'? K 8 M >2((\$? > (.M&>(@ d
NFRS / NAS "> > (NFRS / NAS Standard)	Statement of Financial Position	Statement of Profit or Loss & Other Comprehensive Income
*M0/K 0M\$> K &C7M ? K# (User Perspective)	8A0 M7> > M(*M0/K 0M (Md 2>-> 6 8.M->5(> > M(*M0/K 0M (Md	76M%\$?/>5'? K 8 M >2((\$? > (.M&>(@ d

4. LOKSEWA / BANKING PROBABLE EXAM QUESTIONS (k 0 gf M)

Q1 [10 Marks - NRB / RBB Level 5 & 6]: 5?50# -(M(>2G G ,A ?(M ? NFRS (A

- ' *0? /: 5?50# K 5'>0#>, NFRS / NAS 1 K >(A(@ '>0 (h M)
- ' NFRS > k M 90B: SOFP, SOPL, Cash Flow, Changes in Equity, Notes K 5M/> M/> (j M)
- ' (A*>\$ 5?6M2G7# K .9\$M\$M5: \$02\$>, (>+>, 6K'(M7.\$>, 8A*0?5G M7# 0 (?0M#/ *M0 M0?/> (i M)
- ' (?7M 0M7: 5?(M!K !M0G8? 09?\$ *>0&0M6@ 5?50# K 56M/ \$> (g M)

Q2 [10 Marks - NRB / RBB / ADBL Level 6 / Officer Level]: 5>82>\$,>9?0 > >0K,>090B

- ' OBS K *0?->7> \$%> 5'>0#>: 8.M->5?50#90B K \$A2(>\$M. 50
- ' *M0.A j-k *M0 >090B: L/C, Bank Guarantee, Acceptances, Forward Forex (j M)
- ' K ? .90B: M0G!&? K ?., \$02\$> K ? . 0 CCF / ,>8G2 i *A @ *0M/>*M\$5M/58M%> (i M)
- ' (?7M 0M7: H0-,M/> .M&>(@ 0 K ?., @ K 8(M\$A2((g M)

Q3 [5 Marks - NRB Level 4 / Loksewa Kharidar-Nasu]: ,H \$%> 5?50# 8 8M%>.> *A

- ' CAR K 0M%, ,>8G2 i +M0G.50M , gg% K ?\$M/ (h.k M)
- ' CD Ratio K 0M%, of% K 8@.>, \$02\$> K ? . 5M/58M%>*((h.k M)